

Monthly household spending indicator: Fuel dominates the narrative

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20:20 May 05 2026

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Q1 real household spending: 0.7%qtr, 2.8%yr

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Household spending rose 1.6%*mt*h in March, the strongest monthly gain in two years. However, Q1 spending was more subdued, with nominal growth of 1.0%*qtr*. Volumes increased 0.7%*qtr*, pointing to a surprisingly soft price gain in the quarter.

Goods spending surged, while services spending lost momentum. Non-discretionary spending outperformed as discretionary categories remained more restrained.

In real terms, spending growth over the quarter was uneven across categories but remained positive across all states, with transport and non-discretionary components driving volumes.

Ahead of the Q1 national accounts (due 3 June) we maintain a 0.6%*qtr*/2.5%*yr* forecast for consumption.

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